Chapter 6: Saving, Investment Spending, and the Financial System

Principles of Macroeconomics Curriculum

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Abstract

This chapter provides a rigorous, pedagogical treatment of Chapter 6: Saving, Investment Spending, and the Financial System, benchmarked to standard principles curriculum.

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1 Learning Outcomes and Key Terms

Students should distinguish saving from wealth, apply the national saving identity, and use the loanable-funds model to explain how saving and investment plans respond to real interest rates. These objectives support MA-2 and MA-3 and prepare students for C2002-2. Key terms include private saving, public saving, national saving, investment, loanable funds, real interest rate, deficit, and capital inflow.

2 Saving Is a Flow; Wealth Is a Stock

A household that saves part of this month's income adds to its assets, but saving itself is measured over a period. Wealth is the value of assets held at a point in time. Likewise, investment in macroeconomics is spending on newly produced capital goods and inventories during a period; it

is not the purchase of an existing stock certificate. Keeping stocks and flows separate prevents a common accounting error.

3 National Saving and the Open-Economy Identity

Start with the expenditure identity $Y = C + I + G + NX$. Rearranging gives $Y - C - G = I + NX$. National saving is $S = Y - C - G$, so in the simplified model $S = I + NX$. If net exports are used as the current-account proxy, then $S - I = NX$: saving above domestic investment corresponds to net lending abroad, while investment above saving is matched by net borrowing from abroad. In full balance-of-payments accounts, the current account includes net primary income and transfers as well as goods and services.

With taxes T and disposable income $Y - T$, private saving is $S_p = Y - T - C$ and public saving is $S_g = T - G$. National saving adds the two:

$$S = S_p + S_g = (Y - T - C) + (T - G) = Y - C - G, \qquad S - I = NX \quad \text{(simplified model)}. \tag{1}$$

In a closed economy, $NX = 0$ and planned national saving equals investment in the accounting identity. The identity does not guarantee that desired saving and planned investment are equal at every interest rate; prices, output, and financial markets adjust toward consistency.

4 Loanable Funds: Graph and Mechanism

Put the quantity of loanable funds on the horizontal axis and the real interest rate on the vertical axis. Planned saving is drawn as a supply of funds, often rising with the real return. Planned investment is a demand for funds, often falling as borrowing becomes more expensive. Their intersection is the model's equilibrium real rate and quantity. A shift in saving or investment plans moves one curve; a change in the interest rate is a movement along a curve. This is a market model, not a literal inventory of all bank deposits.

5 Deficits, Interest Rates, and Crowding Out

If government purchases rise while taxes and private saving behavior are fixed, public saving falls. In a closed-economy loanable-funds model, the saving supply can shift left, raising the equilibrium real interest rate and reducing some private investment. This is the crowding-out mechanism. Its size depends on conditions: monetary policy, spare capacity, household saving responses, international capital flows, and the central bank's reaction can change the outcome. A deficit does not mechanically imply a one-for-one decline in private investment.

FRED Data: Gross Private Domestic Investment

FRED series GPDI reports gross private domestic investment in billions of current dollars at a seasonally adjusted annual rate, quarterly. It includes fixed investment and inventory change. It is a nominal expenditure flow, not a capital stock and not a direct measure of productive capacity. To study physical investment growth across time, compare an appropriate real series and account for revisions and price changes.

Clear It Up: The Identity Is Not a Causal Claim

The accounting relation $S - I = NX$ in the simplified model must hold ex post. It does not by itself tell us whether saving caused investment, investment caused income and saving, or foreign flows adjusted. Use a behavioral model and evidence to discuss causation.

6 Check Your Understanding

1. If $Y = 1{,}000$, $C = 650$, and $G = 200$, calculate national saving.
2. If national saving is 150 and investment is 180, what is NX in the simplified open-economy identity?
3. Is buying an existing share of a company macroeconomic investment? Why or why not?

Answers: (1) $S = Y - C - G = 150$. (2) $NX = S - I = -30$, a deficit in the simplified model. (3) No; it transfers ownership of an existing financial asset rather than purchasing newly produced capital.